13_Procurement_Commercial

(RAM – Policies & Procedures Manual Structured Architecture)

13.1 Procurement & Commercial Governance Policy

Purpose:
Establish a transparent, competitive, and value-driven procurement and commercial management framework aligned with ISO 20400 (Sustainable Procurement), ISO 37301 (Compliance), and COSO Internal Control.

Scope:
Covers sourcing, contracting, vendor management, tendering, purchasing, commercial negotiations, and contract lifecycle management.

Principles:

- Transparency & fairness
- Segregation of duties
- Value for money
- Risk-based procurement
- Ethical conduct & anti-corruption
- Sustainability & ESG alignment

13.2 Policy Architecture (WBS-Coded Tree)

```
13_Procurement_Commercial
│
├── 13.1 Procurement Governance Policy
│    ├── 13.1.1 Procurement Planning Procedure
│    ├── 13.1.2 Delegation of Authority (DoA) Matrix
│    ├── 13.1.3 Annual Procurement Plan (APP)
│
├── 13.2 Sourcing & Tendering
│    ├── 13.2.1 Vendor Prequalification
│    ├── 13.2.2 RFQ / RFP / RFI Procedure
│    ├── 13.2.3 Bid Evaluation Committee Process
│    ├── 13.2.4 Technical & Financial Evaluation
│    ├── 13.2.5 Negotiation & Award Recommendation
│
├── 13.3 Purchasing & PO Management
│    ├── 13.3.1 Purchase Requisition (PR)
│    ├── 13.3.2 Purchase Order (PO)
│    ├── 13.3.3 Emergency Procurement
│    ├── 13.3.4 Direct Procurement (Single Source)
│
├── 13.4 Contract Management
```

```
│   ├── 13.4.1 Contract Drafting & Legal Review
│   ├── 13.4.2 Contract Approval Workflow
│   ├── 13.4.3 Contract Performance Monitoring
│   ├── 13.4.4 Variation Orders (VO)
│   ├── 13.4.5 Contract Closure
│
├── 13.5 Vendor Management
│   ├── 13.5.1 Vendor Onboarding
│   ├── 13.5.2 Vendor Performance Evaluation
│   ├── 13.5.3 Vendor Risk Assessment
│   ├── 13.5.4 Blacklisting & Suspension
│
├── 13.6 Commercial Management
│   ├── 13.6.1 Pricing Strategy
│   ├── 13.6.2 Cost Analysis & Benchmarking
│   ├── 13.6.3 Claims & Dispute Management
│   ├── 13.6.4 Revenue & Margin Monitoring
│
└── 13.7 Compliance & Audit
    ├── 13.7.1 Conflict of Interest Declaration
    ├── 13.7.2 Procurement Audit
    ├── 13.7.3 Fraud Prevention Controls
```

13.3 SIPOC – End-to-End Procurement Process

Supplier	Inputs	Process	Outputs	Customer
Department Requestor	Purchase Request	Approve PR	Approved PR	Procurement
Vendors	Quotations	Evaluation & Negotiation	Award Recommendation	Management
Legal	Contract Template	Contract Drafting	Signed Contract	Finance
Procurement	PO	PO Issuance	Delivery	End User
Vendor	Goods/Services	Inspection & Acceptance	GRN	Finance
Finance	Invoice	3-Way Matching	Payment	Vendor

13.4 BPMN – High-Level Flow

```
[Department]
   ↓ PR Submission
[Line Manager Approval]
   ↓
[Procurement Review]
   ↓
{> Threshold?}
  ├ Yes → Tender Process (RFQ/RFP)
  └ No  → Direct PO
```

```
   ↓
[Evaluation Committee]
   ↓
[Award Decision]
   ↓
[Contract / PO Issued]
   ↓
[Delivery & GRN]
   ↓
[Invoice & 3-Way Match]
   ↓
[Payment]
```

13.5 RACI Matrix

Activity	Requestor	Procurement	Finance	Legal	CEO
PR Creation	R	C	-	-	-
Vendor Selection	C	R	-	-	A (above threshold)
Contract Draft	-	R	-	C	A
PO Approval	-	R	C	-	A
Payment	-	-	R	-	A

R = Responsible
A = Accountable
C = Consulted

13.6 KPIs Framework

KPI	Formula	Target
Procurement Cycle Time	PR to PO days	< 10 days
Cost Savings	Budget – Award Price	≥ 8%
On-Time Delivery	On-time POs / Total	≥ 95%
Contract Compliance	Compliant Contracts %	100%
Vendor Performance Score	Weighted Scorecard	≥ 80%

13.7 SAP / ERP Configuration (Recommended Structure)

Module	Function
MM (Materials Management)	PR, PO, GRN

Module	Function
SRM	Vendor evaluation
FI-AP	Invoice & Payment
PS	Project procurement
GRC	Compliance & approvals

Approval Workflow:

- Threshold-based approval
- Auto-escalation
- Audit trail enabled
- Segregation of Duties (SoD)

13.8 Core Forms & Templates

F-13-01 Purchase Requisition (PR)

- Department
- Budget Code
- Justification
- Required Date
- Estimated Cost
- Approval Signatures

F-13-02 Vendor Prequalification Form

- Legal Registration
- Tax Certificate
- Bank Details
- Experience
- ESG Compliance

F-13-03 Bid Evaluation Sheet

- Technical Score (60%)
- Financial Score (40%)
- Weighted Total
- Committee Signatures

F-13-04 Contract Approval Form

- Contract Value
- Risk Rating
- Legal Review
- Insurance Confirmation
- Approval Matrix

F-13-05 Vendor Performance Scorecard

- Delivery Timeliness
- Quality
- Compliance
- Responsiveness
- Sustainability Criteria

13.9 Governance Risk & Control Matrix (ISO 37301 + COSO)

Risk	Control	Type	Owner
Conflict of Interest	Mandatory COI Declaration	Preventive	HR
Fraudulent Vendor	Vendor Due Diligence	Preventive	Procurement
Budget Overrun	Budget Validation	Preventive	Finance
Contract Risk	Legal Review Mandatory	Preventive	Legal
Duplicate Payment	3-Way Match	Detective	Finance
Collusion	Bid Opening Committee	Preventive	Procurement

13.10 Commercial Strategy Layer

For RAM (Real Asset Management / Enterprise Model):

- Strategic Sourcing
- Long-Term Framework Agreements
- Supplier Consolidation Strategy
- ESG & Sustainable Procurement
- Local Content Policy
- Cost Optimization Program

13.11 Internal Control Strengthening

- Dual authorization for high-value contracts
- Vendor rotation mechanism
- E-procurement portal integration
- Periodic internal audit reviews
- Blacklist registry

Next

1. Convert this into a **Board-Grade Layered Architecture Diagram**
2. Develop full **BPMN swimlane diagrams visually**
3. Build **Excel-based Procurement Toolkit**
4. Create **Complete Commercial Policy Manual (Word-ready structured version)**
5. Integrate with your existing RAM Governance, Risk & Finance sections**